Question to VRS counsel — is the true-up collectible?

Approved for transmission by the board, 12 October 2026. Signed by Moody as the proposal's author; no organisation named. *Going out the week of 12 October 2026 — email first, hard copy to follow. Response date 20 November 2026 and drafting target 30 November 2026 both unchanged. Send instructions: V2-send-packet.*

Routing note. VRS has no in-house general counsel; its published legal counsel is the Office of the Attorney General of Virginia. This letter is therefore addressed to the Director of VRS with a request that the question be referred to the Attorney General's office, or answered informally by whoever within VRS normally handles questions of administrability under Title 51.1. I am content with either.

The question in one paragraph

I am preparing a 2027 proposal under which a state employee who purchases qualifying military service at approximate normal cost must retire within six months, failing which the member must pay the actuarial-equivalent difference in order to keep the credit. My question is whether that obligation can be made collectible in practice, and by what mechanism. I would rather know now that it cannot be, than draft a bill whose only consideration to the Commonwealth turns out to be unenforceable.

Why this question decides the design and not just the drafting

The proposal has two pathways. In one, the purchase advances the member's eligibility for an unreduced allowance — the Commonwealth receives an earlier retirement that it can observe. In the other, the member is already eligible for an unreduced allowance, so the purchased service does not advance eligibility at all. It raises the benefit amount.

For that second pathway, the member's retirement is the only thing the Commonwealth receives in exchange for the preferential price, and the true-up is the only hard mechanism tying the preferential price to that retirement. The proposal deliberately carries no mechanism moving the resulting agency payroll savings into the trust fund. So if the true-up is not collectible, the second pathway is a benefit enhancement with no consideration at all, and I should either redesign it or drop it. That is a decision I can take in November. It is not one I want taken for me in a fiscal note in January.

What I think the answer probably is, so you can correct me rather than start from nothing

My working assumption is that an obligation to pay money after the fact — by invoice, by payroll deduction, by offset against an allowance — is the weak form, because a member who declines to retire is also a member who may decline to pay, and the Commonwealth is then holding a receivable against a continuing employee. The stronger form is to withhold the service credit from the member's record until the condition is met: the member pays the approximate-normal-cost amount, the purchase is recorded as conditional, and the credit is applied to the record only on the earlier of (a) retirement within the six-month window, or (b) payment in full of the actuarial-equivalent amount. Nothing then has to be collected, because nothing has been granted.

I do not know whether that structure is available under Title 51.1 as it stands, or whether it would create problems of its own. Hence the questions below.

The questions

1. **Can service credit be granted conditionally?** May VRS record a purchase of prior service as conditional — not credited to the member's record — pending either the member's retirement within a stated window or payment of the actuarial-equivalent amount? If so, does that require enabling language, and of roughly what kind?
2. **If the credit must be granted on payment, is the resulting true-up collectible?** From a member who remains in covered employment, what mechanisms are actually available: billing, payroll deduction with or without the member's consent, offset against a future allowance, reversal of the credit, or refund of the member's payment and voiding of the purchase? Which of these does VRS consider workable in administration rather than merely available in law?
3. **Can the credit be reversed instead of the difference collected?** If the member does not retire and does not pay, may VRS void the purchase and refund what the member paid, leaving the member where they started? I would regard that as an acceptable and clean outcome. Is it available?
4. **Is there a federal tax constraint I have not seen?** Purchases are commonly made with pre-tax money or rollovers under Code § 414(h) or § 403(b)/§ 457 transfers. Does a conditional or reversible purchase create a qualification, constructive-receipt or distribution problem that a straightforward purchase does not? This is the question I am least equipped to answer myself.
5. **Does conditioning a purchase price on retirement raise any issue beyond cost?** I am asking generally, not leadingly: anything in the nature of an age-related or ADEA-adjacent concern, anything in the Virginia Constitution's provisions on the trust, or any precedent in VRS's handling of retirement-incentive arrangements that I should know about. My design keeps participation voluntary and the consequence of not retiring purely financial, which I believe is the right posture, but I would rather be told if it is not sufficient.
6. **Has VRS administered anything like this before?** Any prior conditional purchase, retirement-window condition or incentive-linked service credit, and what the administrative experience was. If there is a reason this has not been done in Virginia, I would like to know it before I ask for a bill.
7. **What would VRS need in the bill text?** If the structure is workable, what does the statute have to say for VRS to be able to administer it — and what should it not say, so that VRS retains the discretion it needs on timing, calculation and recordkeeping?

What I am not asking

I am not asking for a view on the merits of the proposal, and I am not asking for a cost estimate — that is the subject of the data request sent alongside this letter. I am not asking for a formal legal opinion if an informal view by meeting is easier; I will record whatever I am told accurately, including a view that the mechanism will not work.

My own position, on the record

I have made no claim that this proposal is actuarially neutral, minimal in impact, or self-funding, and I will not make one. My published materials state that only VRS can price it. If the answer to question 1 or question 2 is that no workable mechanism exists, I will say so in my materials and change the design accordingly.

Thank you for considering this. I am glad to make any of it easier — to narrow the request, to take it by meeting, or to put it in whatever form is least work for your staff.

Yours sincerely,

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13 October 2026

Addressee

To	Patricia S. Bishop, Director, Virginia Retirement System, 1200 East Main Street, Richmond, VA 23219 — with a request to refer to the Office of the Attorney General
Copy	Jillian L. Sherman, ACP, MPA, Legislative Liaison and Policy Analyst, VRS
Subject	Enforceability and mechanism of an actuarial true-up conditioned on a member's retirement
Sent with	Data and actuarial-ratio request of the same date. Item 1 there and question 1 here are the two items that decide whether this design survives
Response requested by	20 November 2026

> **Sent by email and by post.** Email first, with this letter attached as a PDF; a signed hard copy follows by post. See V2-send-packet.